

# Business Turnaround Plan

## Courts Plus Health Club

Addressing Challenges and Driving Sustainable Growth

# EXECUTIVE SUMMARY

Courts Plus Health Club is at a critical crossroads, having recorded a **\$38,567 loss** in 2024. These negative margins are exacerbated by high fixed costs—such as **\$63,032** in insurance and **\$62,913** in taxes—as well as an aging infrastructure requiring over **\$100,000** in urgent repairs. Additionally, the club's dependency on manual processes is driving up labor expenses, while restricted operating hours limit the potential for generating new revenue. As modern facilities offering 24/7 access and digital platforms continue to enter the market, Courts Plus risks further member attrition and diminishing profitability unless decisive steps toward modernization are taken.

## Current Challenges

The most pressing challenge is financial: the club's ongoing losses and its significant fixed overhead are draining profitability. Moreover, aging equipment and facilities not only require immediate funding but also deter new members seeking more contemporary amenities. Meanwhile, inefficiencies in day-to-day operations—driven largely by manual processes—continue to push labor costs higher. If left unaddressed, these issues will further erode the club's ability to compete with newer gyms that offer advanced, tech-driven experiences.

## Turnaround Strategy

To reverse these trends, Courts Plus must focus on a comprehensive modernization plan that emphasizes both cost reduction and revenue growth. Automation lies at the heart of this strategy, from self-service member check-in systems to streamlined scheduling software, which together reduce labor expenses and free staff to focus on high-value tasks. Introducing 24/7 access will expand membership opportunities and attract demographics—including local military personnel—who demand flexible hours. Enhancing marketing efforts through targeted digital campaigns will further boost membership, capitalizing on the club's premium location and dual-pool amenities. Finally, essential facility upgrades will not only address pressing safety and maintenance needs but also position the club to justify premium pricing in line with a modern fitness environment.

# Investment Required

With a **purchase price** of **\$2.6M**, Courts Plus remains attractively valued against its **\$3.15M** appraisal. To execute this turnaround, approximately **\$150,000** is earmarked for key facility updates, focusing on both immediate repairs and aesthetic enhancements. An additional **\$64,400** will fund automation systems that enable digital access control and member management, while **\$100,000** in working capital provides the flexibility to address unforeseen expenses. Collectively, these investments lay the foundation for a leaner cost structure, improved member experience, and renewed profitability in an increasingly competitive fitness market.



























